Reputation Management

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In 2016, Samsung released its highly anticipated Galaxy Note 7 smartphone. This new device was expected to compete with comparable technology at the time, including Apple's iPhone, and rival its previous model. Instead, the product launch would lead to Samsung facing its biggest crisis in company history, one that would threaten its reputation as a technologic innovator and billion dollar company.[1]

Shortly after the Galaxy Note 7's debut, numerous reports of the cell phone bursting into flames led to widespread concern; the model was even banned on many airlines. Samsung was forced to take rapid action and made the difficult decision to recall over 2 million devices and halt further production.[2] The company did not stop there; Samsung created a battery advisory group, hired researchers to determine the cause of the problem, and designed an 8-point battery safety system to prevent further explosions. Throughout the crisis, Samsung maintained transparency and honesty with its customers. Prioritizing customer safety over profits enabled Samsung to survive the crisis, uphold its reputation, and maintain its solid position in the technology market. After enduring short-term revenue losses, 1 year later the company released its Galaxy Note 8, which won the "best Android phone" award and was well-received as an innovative—and safe—device. A report the same year indicated that 89% of existing Samsung customers would consider buying a Samsung smartphone again, and 66% of customers would consider buying a Samsung smartphone at their next upgrade, up 15% from October of 2016.[1]

Benjamin Franklin once said, "It takes many good deeds to build a good reputation, and only one bad one to lose it."[3] Reputation management is the act of protecting and improving the good name of an organization, company, or product.[4] Samsung is an example of a company that prioritized maintaining its reputation in the long term over short-term profits. By doing so, it was able to not only survive a crisis but also gain the trust and loyalty of additional customers. The concept of reputation management extends beyond companies; both individuals and organizations should strive to maintain an honest reputation that is reflective of their internal beliefs and practices.

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REPUTATION MANAGEMENT IN HEALTH CARE

Branding versus Reputation

An organization's "brand" and "reputation" may seem similar but have key differences. Reputation contains beliefs or expectations about the future behavior of an organization and its members.[5] Branding, in contrast, is the perpetual process of identifying, creating, and managing the assets and actions that shape the perception of a business or product in stakeholders' minds.[6] Simply put, the main difference is that branding is related to current relevancy, whereas reputation is related to historic credibility.[7] In addition, an organization's reputation is largely beyond its control and is instead based on interactions with customers and stakeholders. It reflects how well an organization lives up to its commitment and, unlike a brand, cannot simply be changed through advertising.[8] These differences have important implications when considering how a reputation and brand are built and maintained.

Both branding and reputation are important for an organization. Creating a memorable brand is essential for an organization's survival in a competitive market. Once a brand is created, however, it is the reputation that requires continuous monitoring and attention. Unlike a brand, a reputation takes longer to form but can change extremely

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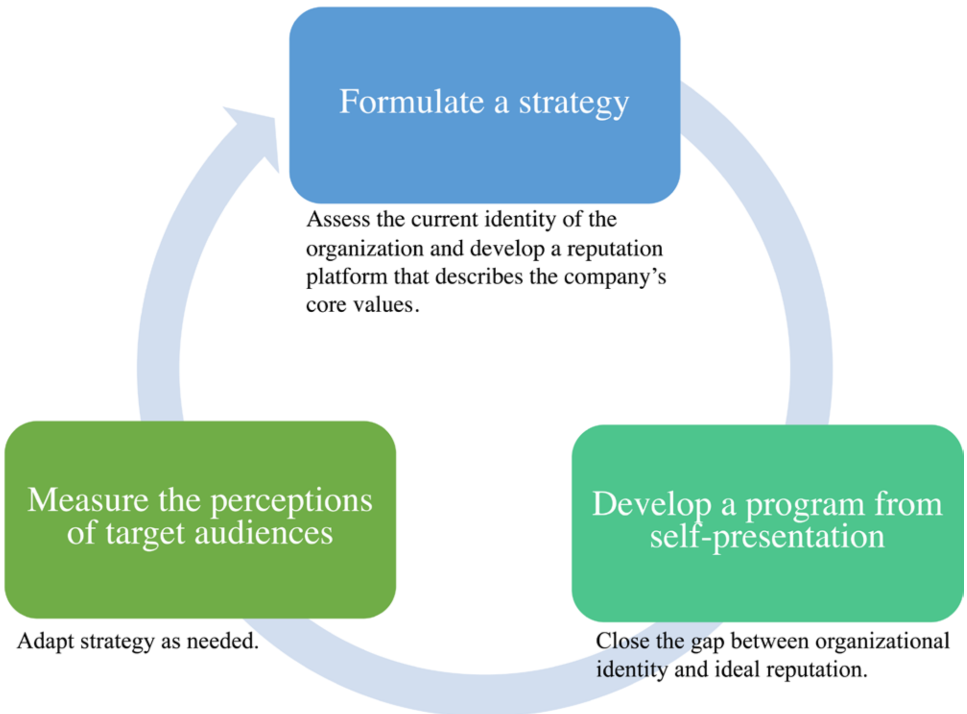

Fig. 1. Three steps to reputation management.

rapidly. Once established, it can be easy to ignore the necessary maintenance that is required to uphold this reputation. However, as shown in Samsung's 2016 crisis, reputation management can be responsible for the survival or demise of an organization.

Reputation Management as a Strategy for Long-Term Success

An additional complexity that must be recognized is that reputation is a perception; it is distinct from the actual character of the company and may be better or worse.[3] For long-term success, it is essential to ensure that a company's reputation aligns with its character. For example, Samsung's reputation before the Galaxy Note 7 crisis was one of quality and technologic innovation. By taking responsibility and acting quickly to remove a defective product, diagnose and treat the root of the problem, and release an improved product the next year, Samsung was able to maintain this reputation in the face of crisis. However, not all brands may respond with such integrity. Theranos, a health technology company founded in 2003, claimed to be able to identify health conditions with just a few drops of blood. It sought to revolutionize health care and, at its peak, was valued at nearly $10 billion.[9] However, when years of deceit, false promises, and fraud were uncovered, the company's reputation unraveled. Although it had the potential to be a breakthrough company making a positive difference in health care management, Theranos was fraught with fraud and dishonesty, ultimately leading to its demise.

These antithetical examples show that it is nearly impossible for an organization to maintain a positive reputation if its values do not align with it. This is particularly evident in the current age of social media and immediate access to information. Although a physician or health care organization may have a positive reputation, it can quickly diminish if not properly managed. Reputation management includes avoiding, reducing, or controlling known or potential risks to the organization, stakeholders, and the public. Three steps to accomplish this are shown in Figure 1.

Applications of Reputation Management in Health Care

As technology has made information more accessible, it is necessary for physicians to understand and monitor their reputation on search engines such as Google, physician review sites, and social media. A study from 2021 shows that 81% of patients consider online reviews when choosing a health care physician. Furthermore, 75% of patients would only consider health care physicians or practices with a minimum 4-star rating.[10] With this increased emphasis on reputation, consultants have emerged to assist physicians in maintaining their online reputation by requesting favorable reviews and highlighting positive messages. These services can cost thousands of dollars and are not ideal for all practices or physicians.[11] Alternatively, there are several methods to successfully manage an individual or organizational reputation.

One of the first steps in reputation management is online monitoring.[12] This requires searching for negative reviews and using a template or creating a personal response to customer feedback. There are several things to consider, however, when responding to feedback. First, responses must be compliant with the Health Insurance Portability and Accountability Act and should not discuss personal information publicly. For sensitive situations, it is preferable to reach out to a patient to discuss the situation privately. In addition, combative language should be avoided, and compassion used to understand the patient's perspective. Above all, it is best to think before posting and consider what, if anything, will improve a situation or make it worse.

Besides patient reviews, there are several other components that contribute to one's online reputation. A physician's or practice's website, for instance, is often the first thing a patient will see and therefore helps form an initial judgment. Depending on the practice, physicians will have varying control over their website. For example, a physician working within a hospital system may have to follow regulated templates and content rules. Those with control over their website should focus on creating a sleek and professional, customer-facing site that is easily accessible and simple to use.[13]

Another popular and effective way for physicians to communicate with patients, other physicians, and the public is through social media. Social media in health care has a variety of uses, including professional networking, professional and patient education, organizational promotion, and public health programming.[14] A physician's social media presence has also been shown to influence patient trust. A cross-sectional survey conducted in 2019 indicated that physicians posting racist comments, disrespectful patient narratives, photographs of patients appearing intoxicated, or profanity was associated with decreased patient trust.[15] In addition, social media comes with increased risk for patient privacy, legal issues, and damage to professional image.[14] To avoid these downfalls and promote the positive use of social media, physicians should follow professional guidelines. These guidelines may come from a physician's health care institution, and several professional organizations have released guidelines for physician social media use.[14] The American Medical Association emphasizes the need to maintain patient confidentiality, be cognizant of privacy settings, and provide accurate and truthful information. The Federation of State Medical Boards also emphasizes patient privacy and confidentiality, professionalism, and transparency, and avoiding dispensing medical advice online.[14] As with patient reviews, social media for practices or individual physicians should be consistently monitored. Caution should always be used—think or ask before posting and avoid any controversial content.

Reputation Management during Crisis

Upholding a current positive reputation is ideal, but circumstances may arise in which it is necessary to respond to a crisis or negative portrayal of an individual or one's organization. Times of crisis serve as a test for vital stakeholder relationships and how leaders can use their influence to maintain these relationships.[16]

A positive reputation confers an advantage; crisis management scholars argue that it serves as protection during a crisis. However, the way an organization manages a crisis can reduce, maintain, or even enhance an existing reputation.[16] A 2021 study aimed to determine the relationship between leadership approach and company reputation during controversies surrounding United and Delta airlines' forced passenger-removal incidents. This study analyzed 2 separate controversies and the responses by the companies' chief executive officer (CEO) using the "responsibility compass" and adjusted share prices as a proxy for reputation (Fig. 2). Results from this study indicated that between 50% and 70% of variations in share prices could be explained by responsible leadership, even with many other factors at play. For example, United Airline's share prices dropped the day after a leaked memo from the CEO supported the actions of the flight crew who forcefully removed a Kentucky physician from an overbooked flight; they rose after the CEO apologized publicly and promised an internal investigation into the incident. Similarly, Delta Airline's share prices rose after a public apology was issued in response to the removal of a family from a California-bound flight; they also rose after a settlement with the family was announced.[16] Both cases demonstrate the benefit of adopting responsible leadership strategies, especially when vital stakeholder relationships are at risk. The use of responsible leadership when responding to crisis, also exemplified by Samsung's response to the Galaxy Note 7 problem, indicates the importance

Fig. 2. Responsibility compass.

of having a proactive and practical plan for reputation management during crisis.

CONCLUSIONS

An individual's or organization's reputation is formed over time and is related to the credibility of the subject. Reputation takes years to form but can quickly be damaged with as little as 1 mistake or misunderstanding. This risk is especially prevalent for patient-focused organizations in the current era of advanced technology, social media, and rapid dissemination of information. It is necessary to engage in reputation management to avoid and respond to potential crises, and therefore maintain the ideal reputation of an organization that is representative of its values and character.

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